Payouts through BaaS and bank wallet accounts

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Summary

The model. The bank holds each society's money in an account in the society's own name, and executes every transfer. The platform runs the business process: rules, requests, approvals and notices. It also keeps the ledger that says whose money each naira is. The platform never receives or holds society money.

The catch the research found.

- At every Nigerian BaaS provider checked, the platform's own API key can debit any wallet it opened. That includes Embedly, ProvidusUnity, Wema, Anchor, VFD, Kuda and Lenco.
- None of them asks the society for a PIN or OTP per payout, and none supports multiple signatories on API transfers.
- So with BaaS wallets the platform does not hold the money, but it alone controls it. The society's approval rules live only in the platform's code.

Recommendation: three routes, picked by risk.

1. **Signatories approve in the bank's own channel.** The platform prepares payment files as the uploader on the society's corporate banking profile, and the society's officers approve with their bank tokens. The platform cannot move money on its own. Use this for loan disbursements above a threshold, dividend runs and the pilot's first months.
2. **The platform as initiator on the society's own business account.** This applies where the provider enforces approver roles on API transfers. Kuda Business and Lenco have approver roles in their apps, but whether API transfers pass through them is unconfirmed.
3. **Fully automated BaaS wallets under the platform's key.** Approvals are enforced in the platform. Use this only for routine payouts under a per-payout and daily cap. It needs a legal opinion and a three-party agreement before go-live.

Open banking is not the answer yet. Payment initiation under the CBN's 2023 guidelines was not live in October 2026.

Roles and the boundary

The principle. The bank is the record of money: it holds every naira and moves it. The platform is the record of meaning: it knows whose savings, which loan and which dividend each naira belongs to, and it runs the rules that decide when money may move. The society decides, through its signatories.

Activity	Society	Platform	Bank or BaaS	Member
Hold the money			**Does it**	
Open the society's account and check its documents	Provides documents and signs the mandate	Collects and submits documents	**Approves the account**	
Set the rules: loan policy, notice periods, dividend rate	**Decides at its board or general meeting**	Configures the rules		
Raise a payout request	Officers raise vendor and dividend payouts	Hosts the request		**Raises a withdrawal or loan**
Check the request against rules and balances		**Does it**		
Approve the payout	**Signatories approve**	Enforces who may approve	Enforces the mandate where it can	
Check the beneficiary's name		Triggers the check	**Runs the name enquiry**	
Move the money		Sends the instruction	**Debits and transfers**	
Record whose money it is		**Keeps the ledger**		

Activity	Society	Platform	Bank or BaaS	Member
Record the balance and statement		Mirrors it	**Is the source of truth**	
Reconcile	Treasurer signs off monthly	**Proves it daily**	Provides the statement	
Monitor fraud and money laundering on the account		Flags unusual patterns	**Monitors and reports**	
Recover a wrong payout	Approves the claim	Raises and tracks the case	**Runs the recall**	

What the platform never does.

- It never receives society money into its own account.
- It never moves money between two societies.
- It never pays itself, except invoiced fees that the society has approved.
- It never holds a signatory's own banking login or token.

Account structure at the bank

One society, one main account in its own name. Collections arrive through virtual account numbers that route into it. Payouts leave from it. The account title carries the society's registered name, so a court order, an NDIC claim or a freeze touches only that society.

Purpose wallets where the bank supports them. Some providers let a business open separate wallets that each carry their own balance. Embedly business wallets and Kuda virtual sub-ledgers are examples. Where they exist, they let real money mirror the society's funds.

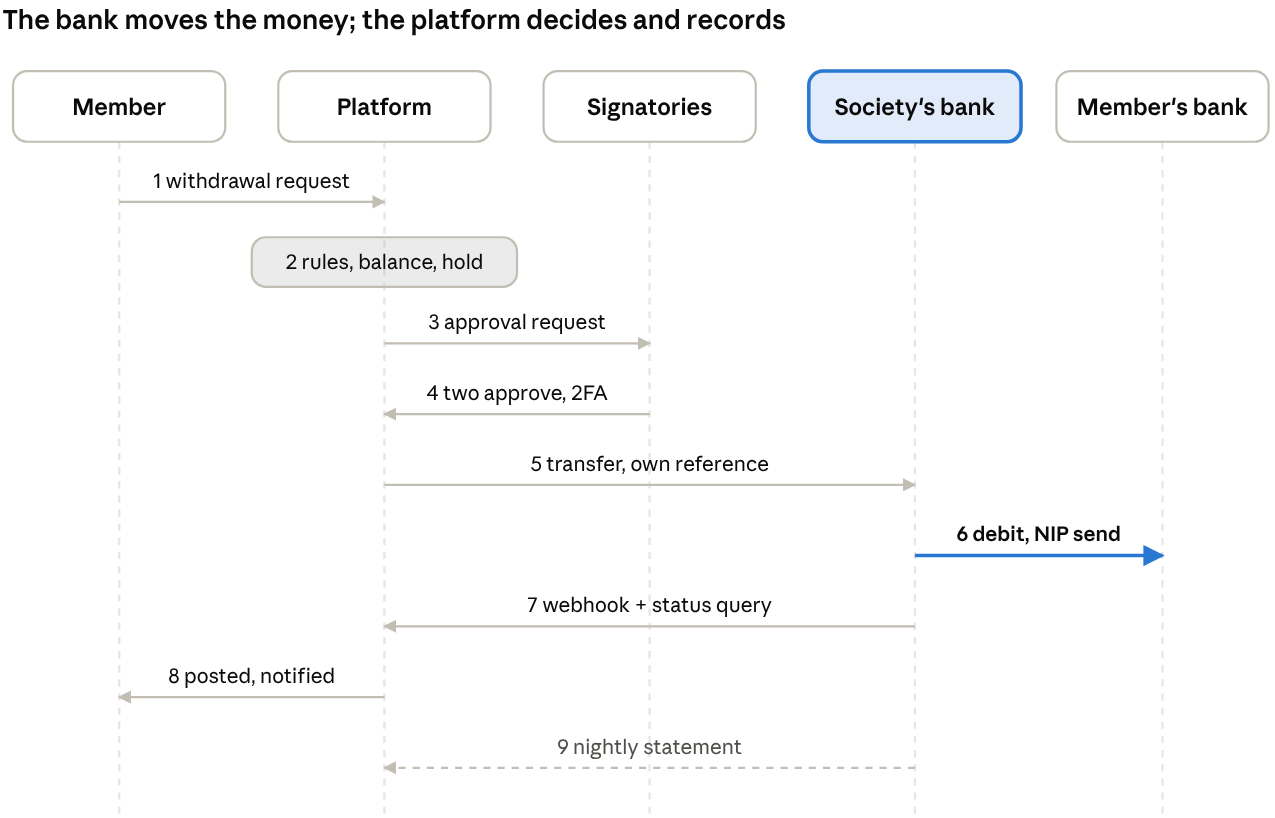
Wallet	Holds	Why separate it
Main or collections	Contributions as they arrive	Single place for check-off and member transfers to land

Wallet	Holds	Why separate it
Loan fund	Money set aside for lending	Stops lending from eating members' withdrawable savings
Reserve	Statutory reserve and share capital	Protects money the bylaws say must not be paid out
Dividend run	The approved dividend total, moved in before the run	Caps a bulk payout at exactly what the meeting approved
Operations	Running costs of the society	Keeps expenses away from member money

Members do not get bank wallets. A member's savings, shares and loans live in the platform ledger as balances the society owes or is owed. Giving every member a bank wallet would turn each member into a bank customer with KYC tiers, limits and fees, for no gain in safety.

Start simple. Begin with one main account and separate the funds in the ledger. Add real purpose wallets for the loan fund and the dividend run once the bank offers free transfers between them.

One payout, step by step



one member withdrawal · nine steps across five parties

Only step 6 moves money, and only the bank does it.

- **Steps 1 to 5.** The platform checks the rules and the balance, places a hold, collects two approvals, and sends one instruction carrying its own reference.
- **Steps 7 and 8.** The platform waits for the bank's answer before it posts the ledger.
- **Step 9.** The nightly statement proves the day.

Under the signatory-channel model described next, steps 4 and 5 happen inside the bank's own channel instead.

Ways to authorise a payout

	Signatories approve in the bank's channel	Platform approval, bank executes by API	Open-banking payment initiation	Pull by mandate (Mono, Remita)
Who can move money alone	Nobody. The bank enforces the mandate	The platform's API key	The payment provider, with the society's consent	The mandate holder
How approval is proven	Bank tokens of named signatories	Platform records, with second-factor approvals	Consent captured by the provider	The mandate set up once
Speed	Hours, because officers log in to the bank	Seconds	Seconds	Seconds once the mandate is live
Bulk payouts	Yes, by file upload	Yes, by API	Unclear	Yes
Works at	Any bank with corporate internet banking	The BaaS provider only	Not live in Nigeria as of October 2026	Mono needs each society to be its own client. Remita needs card and OTP to add an account
Main risk	Slow and manual, with officers sharing tokens	The platform is a single point of control and fraud	Not available	Fit and onboarding friction
Legal position	Clean. The bank acts on the society's mandate	Needs a legal opinion on control and licensing	Would be clean once live	Clean, but the product does not fit

How the routes combine. Payouts flow through the platform the same way whichever route executes them. The rules engine picks the route per payout from its type, its amount and the society's setup:

- under the cap, automated;
- over the cap, or a dividend run, approved in the bank's channel.

Signatory-channel details from the banks.

- GTBank's corporate channel form of January 2026 has uploader, reviewer and approver roles, each with its own limit, and tokens for approvers.
- FirstBank's FirstDirect has a designated-person role, and approvals must follow the account mandate.
- Access, Fidelity, UBA and Zenith have similar maker-checker setups, from secondary sources.
- No bank publishes an API that lets a partner create a pending batch for the customer to approve. The route is file upload, or host-to-host for larger clients.

Payout workflows

Member withdrawal.

1. The member requests an amount in the app.
2. The platform checks:
    - the notice period;
    - the minimum balance;
    - savings pledged as loan security or as a guarantee;
    - any arrears the bylaws allow it to offset.
3. The platform places a hold on the member's ledger balance.
4. The signatories approve.
5. The instruction goes to the bank.
6. On success, the hold becomes a debit and the member is notified.

Loan disbursement.

1. The application collects guarantors, who confirm in the app.
2. The credit committee approves the loan, and the member accepts the offer.
3. The treasury signatories approve the payment. This is a separate approval from the credit decision.
4. The platform pays the net amount after any fees or insurance the policy deducts.
5. The platform creates the repayment schedule, and adds the first instalment to the next deduction schedule sent to the employer.

Dividend run.

1. The general meeting approves the rate and the total.
2. The platform computes each member's dividend from shares and patronage. It applies the tax rule that counsel confirms for cooperative dividends.
3. The treasurer moves the approved total into the dividend wallet, where one exists.
4. The signatories approve the batch as a whole and see its total, count and the largest items.
5. The bank pays in batches.
6. Failed items go to a retry queue with a reason. Members with no valid account stay owed in the ledger.

Society vendor payment.

1. An officer uploads the invoice.
2. Approvals follow the society's spending limits.
3. The platform deducts withholding tax where the society is required to.
4. The bank pays, and the platform files the remittance advice against the invoice.

Refund of an overpayment.

1. The platform confirms the credit on the bank statement.
2. A signatory approves the refund.
3. The bank returns the money to the account it came from, and to no other account.

Ledger design

Books per society. Each society has its own set of books in the platform. No journal ever touches two societies.

Ledger account	Type	Granularity
Bank: main, and each purpose wallet	Asset	One per real bank account or wallet
Payouts in flight	Asset, clearing	One per society
Member savings	Liability	One per member, with available and held balances
Member shares	Equity	One per member

Ledger account	Type	Granularity
Loans receivable	Asset	One per loan
Interest and fee income	Income	One per product
Dividends payable	Liability	One per member, per dividend run
Unmatched receipts	Liability, suspense	One per society
Fees owed to the platform	Liability	One per society

Journals for a member withdrawal.

Event	Debit	Credit
Approved and sent to the bank	Member savings	Payouts in flight
Bank confirms success	Payouts in flight	Bank
Bank confirms failure	Payouts in flight, reversed by a new entry	Member savings, restored by the same entry
Reversal after success	Bank	Payouts in flight, reopening the payout

A loan disbursement debits loans receivable instead of member savings. A dividend run debits dividends payable.

Rules.

- Entries are never edited or deleted. A correction is a new entry that names the one it corrects.
- Each entry carries the bank reference and session ID when there is one.
- Each entry is chained by hash to the one before it.
- The ledger's bank account must equal the bank's posted balance at the end of every day.
- Payouts in flight must be zero, or must equal only the transfers still awaiting a final answer.
- Holds reduce what a member can withdraw, but they are not entries. They expire or convert, and every change is logged.

Reconciliation and sync with the bank

Four signals, in order of trust.

Signal	When	Used for	Trusted for
Webhook	Seconds after the event	Fast updates to the member and the app	Nothing on its own. It is verified by signature and then confirmed
Status query	On demand, and on a schedule for pending items	Settling a single payout	The final state of one payout
Transaction history or statement	Daily, and on demand	Proving the day	The source of truth for money
Balance	Hourly	Early warning of drift	Cross-checking the ledger

The daily three-way proof.

1. Every payout order in the platform must match exactly one bank debit, by reference or session ID. If neither is available, it is matched by amount, date and account, and a person reviews the match.
2. Every bank line must match a ledger entry.
3. The ledger's bank balance must equal the bank's posted balance.

Breaks and how fast they are handled.

Break	Severity	Owner and deadline
A bank debit with no payout order behind it	Critical	Freeze outbound payouts for that society. The CTO and the society's chair are told within one hour
A payout order with no bank line after 24 hours	High	Finance runs a status query and opens a bank case the same day
An amount differs between order and bank	High	Finance resolves it the same day

Break	Severity	Owner and deadline
A credit that matches no member	Medium	It goes to unmatched receipts and is cleared within five working days
The ledger balance differs from the bank's	High	No new payouts until the difference is explained

Monthly. The society's treasurer signs off the bank statement against the platform's reconciliation report. The signed report is kept for the auditor.

Provider fit in Nigeria

Researched 10 October 2026. Several bank and CBN sites blocked automated reading, so some rows rest on secondary sources. Full notes are in bank_wallet_payout_authorisation.md.

Provider	Society account in its own name	What authorises an API payout	Multiple signatories on API payouts	Statements and webhooks	Deposit cover
Embedly (Sterling)	Yes. Corporate onboarding needs RC number, TIN, board resolution, memorandum and articles, SCUML	The platform's key	No	Paged history. The two doc portals disagree on how webhooks are signed	Commercial bank, ₦5m
ProvidusUnity	Yes, through its transfer services	The platform's key on a configured account	No	Collection webhooks with fee and VAT	Commercial bank, ₦5m
Wema	Yes	The platform's key. Its security check calls the platform's own URL, so it is a platform control	No	Available	Commercial bank, ₦5m

Provider	Society account in its own name	What authorises an API payout	Multiple signatories on API payouts	Statements and webhooks	Deposit cover
Anchor	Yes, with an explicit cooperative-society type	The platform's key	No	The richest set, including a reversal event	Partner microfinance bank, ₦2m
VFD	Yes. RC number plus one director's BVN	The platform's key. Consent is taken once by OTP at opening	No	Transactions by date. Webhooks are unsigned, so reversals must be found by status query	Microfinance bank, ₦2m
Kuda Business	The society's own business account	Approver roles in the app. Unconfirmed for API transfers	Possibly	Available	Microfinance bank, ₦2m
Lenco	The society's own account, held at Providus	Approver roles in the app. Unconfirmed for API transfers	Possibly	Balance and transaction webhooks	Held at a commercial bank
GTBank, FirstBank and other commercial banks	The society's own corporate account	Signatories' tokens in the bank channel	Yes, by mandate	Statements in the channel. No partner API	Commercial bank, ₦5m

Points to settle with providers.

- **Registration documents.** No provider confirmed that it accepts a state cooperative registration certificate without a CAC number. Many societies only have the state certificate.
- **Corporate wallet limits.** No provider publishes tier limits for corporate wallets. VFD lets the integrator change limits by API, which is one more power sitting with the platform.
- **Avoid microfinance banks.** Anchor's sample account sits at a microfinance bank, and VFD is one. That fits the earlier tabs' advice to keep society money at commercial banks.

Regulation, liability and contracts

This section is a brief for counsel, not a legal opinion.

Control without custody.

- The platform never holds society money, so the CBN's holding-funds rule is not triggered in the plain sense.
- On a BaaS wallet, though, the platform alone can instruct payment from the society's money. Counsel must say whether that control:
  - needs a payment solution service provider licence;
  - makes the platform a fiduciary of the society;
  - changes who is liable when a payout is wrong.
- The signatory-channel route avoids the question, because the bank acts only on the society's own mandate.

Open banking.

- The CBN issued its open banking operational guidelines in March 2023, with NIBSS named to run the registry and consent system.
- The August 2025 go-live slipped. The CBN's February 2026 fintech report promised a phased roll-out from mid-2026.
- No registered payment-initiation service was found live by October 2026. Open Banking Nigeria is a standards body with over 55 members, not the registry.

Who is liable for a wrong payout.

- **The bank's own error.** Under the CBN's 2018 instant-transfer rules, the bank reverses its own error within one business day.
- **A wrong account given by the society.** Recovery needs the beneficiary's consent, and the receiving bank can hold the funds for up to two weeks.
- **A platform system error.** The contract must name the platform as liable for its own errors, such as a duplicate send or a wrong amount computed. The platform should carry cover for this.
- **A payout the signatories properly approved.** The society carries the result.

What a society signs. The pieces already exist in the banks' standard documents. GTBank's society form needs a resolution and a mandate rule, and gives the bank set-off rights across the society's accounts. Standard Chartered's resolution lets signatories

delegate to named persons. No public three-party template was found, so counsel drafts one.

Clauses for the bank, platform and society agreement.

1. **Board resolution.** The board appoints the platform as uploader or initiator only, names the signatories, and sets the approval rule and limits.
2. **Bank's acceptance.** The bank acts only on instructions that carry the platform's approval evidence. Under the signatory route, it acts only on signatory approval in its own channel.
3. **Record access.** The society and the bank get direct, continuous access to the ledger records, including after the platform fails or the contract ends. This is the main lesson of the Synapse collapse in the United States.
4. **Exit.** On termination, the account stays with the society and the platform's access is removed within one business day.
5. **Liability.** Liability and indemnities are split as set out above, and the platform carries professional indemnity cover.
6. **Data protection.** Data protection terms apply under the 2023 Act and the 2025 directive, with BVN data kept in Nigeria.

Risks and controls

Risk	Route most exposed	Control
The platform key moves society money without a real approval	Automated BaaS	Approvals with a second factor, enforced in code. Per-payout and daily caps per society. Larger payouts routed to the bank channel. Keys in a vault with IP whitelisting. A kill switch
One insider at the platform changes rules or limits	Automated BaaS	Rule and limit changes need two people and the society's chair, and every change is logged and shown to the society

Risk	Route most exposed	Control
Officers share bank tokens, so one person approves alone	Signatory channel	Token custody stated in the resolution. The platform alerts the chair on every approval it sees
The ledger and the bank drift apart	All	Daily three-way proof, unmatched lines posted to suspense at once, payouts stopped while a break is open
A reversal arrives after the ledger shows success	All	A reversed-after-success state, with polling where webhooks are unsigned or missing
Provider failure or freeze	Automated BaaS	Commercial bank only. Society-titled accounts. An exportable ledger the society can take to a new bank
The platform fails or exits	All	Record-access and exit clauses. A monthly ledger export sent to each society's treasurer
Wrong beneficiary	All	Name enquiry match, cooling-off on new accounts, recovery playbook
A provider changes limits by API	Automated BaaS	Limit changes need the same two-person rule as payouts, and they are reported to the society

Lessons from abroad.

- Synapse failed because its records of who owned what could not be matched to the banks' records. The shortfall was $60m to $90m.
- A proposed US rule would make banks keep owner-level records and reconcile daily. It was still not final in October 2026.
- The design here applies the same idea anyway. Each society's account is in its own name, the ledger is proven against the bank every day, and the society can always see its own records.

Requirements for the FRD

FR-BPO-01 Society-titled accounts. Every society's money sits in an account or wallet titled in the society's registered name at a commercial bank.

- The system refuses to link an account whose title does not match the society's registered name.

FR-BPO-02 Route selection. Each payout is routed by type, amount and the society's setup.

- Below the society's cap, it goes to the automated route.
- Above the cap, and every dividend run, it goes to the bank's signatory channel.
- The route and the reason are stored with the payout.

FR-BPO-03 Hold at request. A member's available balance is reduced as soon as a payout is requested, including while it waits for approval.

- A rejected or failed payout releases the hold in full.

FR-BPO-04 Approvals. Approvals follow the society's mandate rule, such as two of three, with a second factor at approval.

- Nobody approves a payout they raised.
- Adding or changing a beneficiary needs approval too.

FR-BPO-05 Bank-channel payment files. For the signatory route, the system produces the bank's bulk payment file and records its hash.

- The system matches the bank's executed lines back to the file, and flags any line that was added, removed or changed.

FR-BPO-06 Safe API instructions. On the automated route, every instruction uses the payout's own identifier as the reference, and every retry reuses it.

- A timeout moves the payout to pending.
- A pending payout is settled by status query, never by a new send.

FR-BPO-07 Caps and kill switch. The system enforces per-payout, per-member daily and per-society daily caps.

- Raising a cap needs two platform staff and the society's chair.
- One action suspends the automated route for one society or for all of them.

FR-BPO-08 Ledger. Each society has its own double-entry books. Entries are immutable and hash-chained, and each carries the bank reference.

- Every balance can be rebuilt by replaying the entries.

FR-BPO-09 Daily proof. Every day the system matches payout orders, bank lines and ledger entries, and proves the ledger's bank balance against the bank.

- A bank debit with no order behind it suspends that society's payouts and alerts the chair within one hour.

FR-BPO-10 Society access to records. The treasurer can export the full ledger and reconciliation at any time.

- A copy is sent automatically every month.
- The export can be read without the platform.

FR-BPO-11 Transparency. Signatories and the chair receive a notice for every payout, every approval, and every rule or cap change.

- The notice goes to their registered contact details, not to the person who made the change.

FR-BPO-12 Exit. When a society leaves, the platform's access to its account is revoked and confirmed by the bank within one business day.

- A final ledger export is delivered at the same time.

Open questions and next steps

For providers.

1. **Kuda Business and Lenco.** Do API-initiated transfers pass through the approver roles set in the app?
2. **Embedly, Wema and ProvidusUnity.**
   - Can a society wallet require a second credential, held by the society, for payouts above a set amount?
   - Will you sign a three-party agreement?
3. **All providers.**
   - Do you accept a state cooperative registration certificate without a CAC number?
   - What are the corporate wallet limits?
   - How are webhooks signed?

4. **GTBank, FirstBank and Access.**
    - Can the platform be set up as uploader on a society′s corporate profile?
    - Is host-to-host available at a pilot′s scale?

For counsel.

1. Does sole technical control of society-titled wallets need a licence, or create fiduciary duties?
2. Draft the three-party agreement and the board resolution, using the clause list above.
3. What tax rule applies to cooperative dividends paid through the platform?

Next steps.

1. Add FR-BPO-01 to FR-BPO-12 to the FRD tab.
2. Pilot with the signatory route for every payout, and turn on the automated route below a small cap after the legal opinion.
3. Build the payment-file generator for one commercial bank first, together with the daily proof.
4. Set the caps and approval rules with the first societies′ executives, and record them in each society′s resolution.

Full notes are in bank_wallet_payout_authorisation.md and orchestrator_ledger_practice.md in the research folder.